

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

LUYELLE LLC, *Claimant*

v.

INTERDEL LOGISTICS, INC., *Respondent*.

DOCKET NO. 2041(I)

Served: March 3, 2026

ORDER OF: Richard AMBROW, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

Claimant Luyelle LLC (“Claimant”) submitted a Claim, along with a memorandum and exhibits, alleging that Respondent Interdel Logistics, Inc. (“Respondent”), a licensed non-vessel operating common carrier (“NVOCC”) violated 46 U.S.C. § 41102(c) by imposing \$1,050 in unreasonable detention charges on Claimant related to a customs hold. Respondent also allegedly refused to disclose rates and detention policies when requested, issued a surprise invoice without transparent justification, and threatened to hold cargo hostage unless the unreasonable charges were paid. (*See generally* Claim).

Respondent filed an Answer and Opposition to Claim along with accompanying exhibits (“Answer”) that argued that Respondent required Claimant to pay its proportional share of charges incurred for the customs hold, which is industry-practice, and that Claimant has a pattern of contesting legitimate charges.

Upon reviewing the facts of this case, as well as the relevant law, I find that Claimant has not carried its burden of demonstrating that Respondent violated section 41102(c). Accordingly, Claimant’s Claim is **DENIED** and **DISMISSED**.

II. BACKGROUND

A. Procedural History

Claimant submitted a Claim, along with a memorandum and exhibits, that the Office of the Secretary (“OS”) received on November 13, 2025. (*See* Claim). On November 19, 2025, OS

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

served the claim and accompanying materials on Respondent. (*See* Notice of Filing Small Claims Complaint and Assignment).

The Claim alleges that Respondent violated 46 U.S.C. § 41102(c) by imposing \$1,050 in unreasonable detention charges on Claimant related to a customs hold. (Claim, ¶ VI). Respondent also allegedly refused to disclose rates and detention policies when requested, issued a surprise invoice without transparent justification, and threatened to hold cargo hostage unless the unreasonable charges were paid. (Claim, ¶ III.D).

On November 24, 2025, I was appointed to serve as the Small Claims Officer for this proceeding. (*See* Notice of Assignment to Small Claims Officer).

On November 27, 2025, Respondent filed its Answer. Respondent argues that it required Claimant to pay its proportional share of charges incurred for the customs hold, which is industry-practice. Further, Respondent asserts that Claimant has a pattern of contesting legitimate charges. (*See generally* Answer).

On December 8, 2025, I issued an Order Requesting Additional Information (the “December 8 Order”). The December 8 Order required the parties to provide additional information I needed to issue a decision in this matter. I required the parties to respond to the December 8 Order no later than December 22, 2025, and the parties to reply to the other party’s responses no later than January 5, 2025.

On December 22, 2025, the parties each responded to the December 8 Order and provided documents (“Claimant’s First RFI Responses” and “Respondent’s First RFI Responses,” respectively).

On January 5, 2026, the Claimant replied to Respondent’s response to the December 8 Order (“Claimant’s First RFI Replies”), but Respondent did not reply to the Claimant’s response.

After reviewing the materials submitted by the parties on December 22, 2025, and Claimant on January 5, 2026, I sent a Second Order Requesting Additional Information on January 12, 2026 (the “January 12 Order”).

On January 12, 2026, Respondent responded to the January 12 Order (“Respondent’s Second RFI Responses”). On January 26, 2026, Claimant responded to the January 12 Order (“Claimant’s Second RFI Responses”).

B. Summary of Relevant Facts and Arguments

Based on the Findings of Facts below, I summarize the most salient facts. Claimant hired Respondent, an NVOCC, to help it import a less-than-container-load of cargo into the United States. (Findings of Fact (“FOF”), ¶¶ 1-2). The container was selected for an inspection by U.S. Customs and Border Patrol (“CBP”). (*See, e.g.*, FOF, ¶¶ 6, 8, 19). Although Respondent attempted to ascertain the reason for the exam, it was unable to do so. (FOF, ¶ 19; *see also* ¶¶ 34, 36).

Several charges were imposed on the container while it was being examined. Two of the charges were detention invoices from an ocean common carrier, totaling \$2,935. (FOF, ¶¶ 30-31). Although Respondent asked the carrier to reduce the detention charge, the carrier did not. (FOF, ¶ 46).

Respondent sent a \$2,100 invoice to Claimant, asserting that it represented Claimant's proportional share of the exam-related charges. (FOF, ¶ 24). Claimant protested, arguing that it should not be responsible for the charges. (FOF, ¶ 33).

This case is a continuation of the dispute. In particular, Claimant argues that it should not have to pay for the carrier's detention charge, as it was imposed in violation of the Commission's "incentive principle." (Claim, ¶¶ III.D; IV). As Claimant's proportional share of the carrier's detention charge is approximately \$1,050, Claimant argues that it is being overcharged by that amount. (Claim, ¶ III.C). Respondent argues that it followed industry practice in allocating the charges, including the carrier's detention charge, amongst the shippers. (Answer, ¶ I.2).

III. FINDINGS OF FACT

1. Respondent is registered with the Commission as an NVOCC. (<https://www2.fmc.gov/oti/>). Its email banners show that it advertises transportation services, such as fully in-house supply chain, warehousing, distribution, and container consolidation. (*See, e.g.*, Answer, E-3 – E-6, at 5; Claim, Ex. A, May 22 Email, at 21:22).²
2. The record includes Sea Waybill No. MEDUH6529513 (the "Sea Waybill"). (*See* Answer, C-4 MEDUH6529513 – Pre Alert, at 1-2). The Sea Waybill, which was issued May 18, 2025, shows, among other things, that it was for container MSDU7953792. In turn, the container contained cargo under several different bills of lading, including Complainant's bill of lading, no. 2049915. The shipper identified on the Sea Waybill was Oshfir Customs & Forwarding Agency Import & Export, Ltd. ("Oshfir"). Respondent was identified as the consignee. The Sea Waybill was issued by Mediterranean Shipping Company, S.A. ("MSC"), and has MSC's logo. (*See id.*).
3. The record contains eight bills of lading. (*See* Answer, C-4 MEDUH6529513 – Pre Alert, at 9-17). Among the bills of lading is SMRK 2049915 ("B/L '915"), which identifies Sunboard Ltd. as the shipper and Claimant as the consignee. The shipment identified on B/L '915 was identified as outdoor folding chairs and was measured at 16.8 cubic meters ("CBM"). (*See id.*).
4. Reviewing the eight bills of lading in the record, the aggregate measurement was 48.39 CBM. (*See* Answer, C-4 MEDUH6529513 – Pre Alert, at 9-17). The bills of lading reflect the following sizes:

² Both parties included PDF exhibits with most of their filings. Accordingly, I refer to exhibits using the following format: 1) the name of the filing that accompanied the exhibit; 2) the name of the PDF given by the party that provided the PDF; 3) the PDF page. The only exception to this format is for exhibits that accompanied the Claim. I refer to those in the following format: 1) Claim; 2) identification of the exhibit letter; 3) the PDF page number or email date and time.

- a. SMRK 2049886: 5.76 CBM
- b. SMRK 2049887: 0.48 CBM
- c. SMRK 2049888: 4.60 CBM
- d. SMRK 2049896: 2.49 CBM
- e. SMRK 2049904: 6.88 CBM
- f. SMRK 2049115: 16.80 CBM
- g. SMRK 2049921: 10.06 CBM
- h. SMRK 2049922: 1.32 CBM

The aggregate of these numbers is 48.39 CBM.

5. The volume of the cargo associated with B/L '915 makes up approximately 34.7% of the volume in the container ($16.8 \div 48.39 = 0.347$ or 34.7%). (See FOF, ¶¶ 3-4).
6. Respondent's employee emailed Claimant's principal on June 2, 2025, stating: "Please note vessel is now showing to arrive on 6/13, it looks like this container is also pending for Exam once it arrives. Please note after Exam is completed there will be additional charges." (Claim, Ex. A, June 2 email at 17:30).
7. In response, Claimant's principal wrote Respondent on June 2, 2025, asking "if you could confirm the reason CBP selected this container for exam," and "if it's solely due to a paperwork discrepancy[.]" Claimant's principal asked to make a correction to minimize fees. (Claim, Ex. A, June 2 email at 20:47).
8. On June 2, 2025, Respondent's employee wrote that no specific reason was given for the exam. (Claim, Ex. A, June 2 email at 21:07).
9. On June 2, 2025, Claimant's principal asked several follow up questions related to the number of free days, the amount of exam fees, and whether any paperwork was needed. (Claim, Ex. A, June 2 email at 21:26).
10. Respondent's employee wrote on June 2, 2025, that there will be no unnecessary charges, that the exam warehouse would take the container, and that after the exam is complete, the container would be transported to Respondent's container station. (Claim, Ex. A, June 2 email at 21:36).
11. Claimant's principal asked on June 3, 2025, if a same day exam could be requested. He also asked about the typical turnaround timeframe for an exam. Finally, he asked if any additional procedure or paperwork could be performed to help expedite the exam. (Claim, Ex. A, June 3 email at 20:58).

12. Respondent's employee replied on June 3, 2025, that there were no same-day exams available, that the exam could take between 2-3 weeks or even longer than a month, and that there was nothing else to be done. (Claim, Ex. A, June 3 email at 1:58 PM).
13. On June 3, 2025, Claimant's principal asked to be informed when the container is off-loaded in order to know when free time begins, for applicable billing rates, and if any additional documents were to be provided. (Claim, Ex. A, June 3 email at 23:04).
14. Respondent's employee responded on June 3, 2025, that no rates were available, and no additional documents were needed. (Claim, Ex. A, June 3, at 23:29).
15. Respondent's employee emailed Claimant on June 11, 2025, to say that the container was available at port, and that the exam warehouse was to pick up the container. (Claim, Ex. A, June 11, at 17:08).
16. The record contains a document on MSC letterhead that is dated June 12, 2025. (Answer, E-2 MSC Notification, at 1). It reads:

PLEASE BE ADVISED CUSTOMS PUT AN AGENCY HOLD ON YOUR CONTAINERS.
PLEASE REFER TO YOUR ARRIVAL NOTICE FOR MORE INFORMATION ON VESSEL ARRIVAL.
THERE WILL BE CHARGES INVOLVED. PLEASE ENSURE PAYMENTS ARE MADE IN A TIMELY MANNER.
FOR DOC HOLDS (2H) PLEASE CONTACT NY-NWKPROBRES@cbp.dhs.gov
CHARGES CAN BE SATISFIED IN THE FOLLOWING WAYS
1) PAYING THE TERMINAL DIRECTLY IF EXAM IS ON DOCK (DID NOT GO TO AN EXAM FACILITY)
2) PAYING THE EXAM FACILITY DIRECTLY
ECW @ WWW.ECWCES.COM
SALSON @ WWW.SALSON.COM

17. On June 23, 2025, Claimant emailed Respondent, expressed concern about its shipment, which was still being examined, and asked several questions. Claimant asked, in relevant part, the reason for the exam, the estimated release time, charges already incurred, and steps being taken to expedite the process. (Claim, Ex. A, June 23 email, at 22:32).
18. Respondent's employee responded by email on June 23, 2025, stating that Respondent did not have an answer to these questions. (Claim, Ex. A, June 23 email, at 22:45).
19. The record contains an email exchange between Respondent's employee and CBP on June 23, 2025, and June 24, 2025. Respondent's employee asked if there was an estimated date when the exam will take place, and if anything was needed "on our end to speed this process up?" CBP responded that: "[Y]our shipment requires a trade related exam. Nothing further required of you. Admissibility into US commerce has not yet been determined for this shipment by the trade exam team." (See Respondent's First RFI Responses, K-3 Email Chain – Jenny's Communication with CPB, at 1-2).

20. On June 26, 2025, Respondent's employee emailed Claimant indicating that the container was released, and that Respondent was awaiting charges. (Claim, Ex. A, June 26 email, at 18:17).
21. Claimant's principal responded on June 26, 2025, asking for an estimate of the charges as soon as possible. (Claim, Ex. A, June 26 email, at 21:13).
22. Respondent's employee responded the next day, June 27, 2025, that it was awaiting charges from the exam warehouse. (Claim, Ex. A, June 27 email, at 18:16).
23. Respondent's employee again emailed Claimant on June 30, 2025, and on July 1, 2025, indicating that Respondent was waiting on charges from the exam warehouse. (Claim, Ex. A, June 30 email, at 21:08; July 1 email, at 21:04).
24. Respondent's employee emailed Claimant on July 1, 2025, with an invoice. The email also indicated that Respondent's container warehouse, Coda, should be picking up the container on July 2, and that the cargo should be available for pickup on July 3. Finally, the email included payment instructions. (Claim, Ex. A, July 1 email, at 23:38).
25. The record contains invoice no. SOI011291 on Seamar Freight International, Inc. ("Seamar"), letterhead dated July 1, 2025, for \$2,100 for a "Custom Examination" (the "Seamar July 1 Invoice"). (Answer, C-3 SOI011291, at 1). The invoice is to Claimant, who is identified as the consignee. (*See id.*).
26. The record contains a Charge Summary on East Coast Centralized Examination Station ("CES") letterhead that is dated July 1, 2025 ("CES July 1 Invoice"). (Answer, C-1 - ces-custchargesummary-1252058_bam_20250701_52758). The CES July 1 Invoice references the master bill of lading as MEDUH6529513, and the container as MSDU7953792. The CES July 1 Invoice is for a total of \$3,061.25 if picked up on July 2, and \$3,261.25 if picked up on July 7, 2025. It shows an arrival date of June 11, 2025, and it shows a customs exam date of July 1, 2025. Finally, the CES invoice indicates that demurrage rates are \$135 per day for the first five days after free time, and \$245 per day afterwards. (*Id.*).
27. Respondent paid East Coast Warehouse ("ECW") \$3,016.25,³ plus a \$14.50 fee, for a total of \$3,030.75, on July 1, 2025, at 3:27 pm. (Respondent's First RFI Responses, C-1.2 PAYCARGO CES-custchargesummary – 1252058_bam_20250701_52758.pdf, at 1).
28. Respondent paid ECW \$45.00, plus a \$14.50 fee, for a total of \$59.50, on July 1, 2025, at 3:30 pm. (Respondent's First RFI Responses, C-1.1 PAYCARGO CES-custchargesummary – 1252058_bam_20250701_52758.pdf, at 1).

³ Although the invoice was for \$3,061.25 (*see* FOF, ¶ 26), Respondent paid \$3,016.25 (FOF, ¶ 27). As noted in paragraph 28, however, Respondent also separately paid an additional \$45.00 a few minutes later. (FOF, ¶ 28). Combined, the two payments, \$3,016.25 and \$45.00, total \$3,061.25.

29. The payments in paragraphs 27 and 28, described above, were for the invoice described in paragraph 26. (Respondent's First RFI Responses, K-5 Email Chain with East Coast Warehouse – MSDU7953792.pdf, at 1).
30. The record contains a Container Import Detention invoice on MSC letterhead that is dated July 1, 2025 ("First MSC July 1 Invoice"). (Answer, C-2 Container Import Detention, at 1). It identifies Oshfir as the Shipper, Respondent as the Consignee, the corresponding bill of lading as MEDUH6529513, and the container as MSDU7953792. The First MSC July 1 Invoice cites the applicable MSC Tariff as MESU-012 and shows the total charge as \$2,435 for the period starting June 11, 2025, and ending July 1, 2025, with free time expiring June 16, 2025. The First MSC July 1 Invoice also shows three separate daily rates, \$185, \$210, and \$250, and the number of days charged at each rate (3 days at \$185 per day; 3 days at \$210 per day; 5 days at \$250 per day, for a total of \$2,435). (*See id.*).
31. The record contains another Container Import Detention invoice on MSC letterhead ("MSC July 3 Invoice"). (Respondent's First RFI Responses, C-2.1 Another Container Import Detention, at 1). It identifies Oshfir as the Shipper, Respondent as the Consignee, the corresponding bill of lading as MEDUH6529513, and the container as MSDU7953792. The MSC July 3 Invoice cites the applicable MSC Tariff as MESU-012 and shows the total charge as \$500. The MSC July 3 Invoice indicates that the original invoice was \$2,435. The MSC July 3 Invoice shows an additional two days of detention (until July 3, 2025), at \$250 per day, for a total amount of \$500. (*See id.*).
32. The record contains an invoice on Coda Logistics and Distribution (NYC) letterhead dated July 8, 2025 ("July 8 Invoice") for \$170. (Answer, C-5 – C-7 – CFS chassis split invoice, at 1). It identifies the master bill of lading as MEDUH6529513, the container as MSDU7953792. It is addressed to Respondent and Seamar, and the customer reference no. is the same number as the Seamar invoice, SOI011291. (*See id.*).
33. The record contains an email dated July 2, 2025, from Claimant's principal to Respondent. The email indicated that Claimant strongly disagreed with the Seaman July 1 Invoice for \$2,100 as unreasonable because Claimant's cargo would not have triggered the exam, it was not missing any documentation, the length of the exam was outside Claimant's control, the fee was excessive compared to the value of the cargo, and the invoice was not itemized. (Claim, Ex. A, July 2 email, at 00:53).
34. Respondent's employee responded on July 2, 2025, stating that total charges were apportioned by percentage of total CBM, that Respondent had no specific documentation requirements, and no explanation was given for the selection of this container for an exam. The email attached the MSC July 1 Invoice, the CES July 1 Invoice, an email from CBP, and an email from the exam warehouse. (Claim, Ex. A, July 2 email at 17:58).
35. Claimant sent another email dated July 2, 2025, indicating that the exam cost was \$3,061.25, and that claimant's proportional share should be \$1,050.47. Claimant asked for a revised invoice in the amount of \$650-750, reiterating many of the arguments it raised previously. (Claim, Ex. A, July 2 email, at 19:45).

36. On July 2, 2025, Respondent's employee responded asserting that CBP does not typically disclose the reason for the exam. Respondent's employee also wrote that for a less-than-container-load shipment, all consignees are responsible for a portion of the exam-related charges, and the total cost related to the exam was about \$6,125. (Claim, Ex. A, July 2 email, at 20:04).
37. In an email dated July 2, 2025, Claimant asked how the \$6,125 amount was calculated, when the Seamar July 1 Invoice showed that the exam-related costs were \$3,061.25. (Claim, Ex. A, July 2 email, at 20:20).
38. Respondent's employee responded on July 2, 2025, asserting that Claimant was apparently ignoring the MSC July 1 Invoice and noted that the cargo would not be released from Coda until the fees were paid. (Claim, Ex. A, July 2 email, at 21:31).
39. Claimant sent an email on July 2, 2025, arguing that it should not be responsible for the detention charges imposed by MSC. (Claim, Ex. A, July 2 email, at 22:14).
40. In an email dated July 2, 2025, Respondent's employee stated that it was unable to do anything about the charges. (Claim, Ex. A, July 2 email, at 23:55).
41. Claimant sent an email on July 3, 2025, contesting responsibility for the detention charges, acknowledging that it owed \$1,050 for the examination, and asking for a manager. (Claim, Ex. A, July 3 email, at 00:15).
42. Respondent's manager responded in an email dated July 3, 2025, stating that the container was selected for an exam, and that Respondent is simply passing charges along. (Claim, Ex. A, July 3 email, at 00:39).
43. On July 3, 2025, Respondent's employee sent an email showing how the charges were calculated. Respondent cited four invoices: $\$3,030.75 + \$59.50 + \$2,435 + \$500 = \$6,025.25$. Respondent's employee also estimated an additional \$100 fee for 2 days of chassis charges, thus totaling \$6,125. Multiplying that amount by Claimant's proportional share totaled \$2,100. (Claim, Ex. A, July 3 email, at 1:02).
44. Claimant's principal responded to Respondent's manager on July 3, 2025, making similar arguments to ones made previously. (Claim, Ex. A, July 3 email, at 01:38).
45. Claimant's principal sent another email on July 3, 2025, to Respondent asking for information in order to file this Claim. (Claim, Ex. A, July 3 email, at 16:29).
46. The record contains an email exchange dated July 3, 2025, between Respondent's employee to an employee of MSC asking that since the container was "out of the Port due to Pending Exam, is there anything you can do about the detention charges? Like reducing the Cost By any Chance?" The MSC employee responded: "Please note being subject container was ordered for a General Order inspection it does not qualify for the Customs LFD Extension. Charges are valid and due to MSC." (See Respondent's First RFI Responses, K-2 Email Chain – Jenny's Communication with MSC, at 1-2).

47. Respondent's employee emailed Claimant indicating that the cargo was available at Coda, the last free day would be July 9, 2025, and that the cargo would not be released until the fees were paid. Respondent's employee also stated: "Please also note if cargo falls into storage due to the Size of the cargo it will also observe thousands of dollars in sto[ra]ge." (Claim, Ex. A, July 3 email, at 16:36).
48. Claimant's principal sent an email asserting that a fair settlement is \$700, though it offered \$1,050, asserting that it represents its share of the volume, its lack of fault, its lack of control, and the absence of advanced notice, but it refused to pay detention. (Claim, Ex. A, July 3 email at 17:05).
49. Respondent's manager sent an email stating that it cannot subsidize these charges, and that: "as much as I want you to learn a lesson by going to FMC, let me give you a friendly [piece of] advice – you will waste your time and money." The email reiterated that the last free day is July 9. (Claim, Ex. A, July 3, at 19:32).
50. From the evening of July 3 through July 9, Claimant and Respondent exchanged several emails in which Claimant protested the \$2,100 in fees but agreed to pay the full \$2,100 under protest.⁴ (Claim A, July 3 email, at 20:01 – Claim A, July 9 email, at 19:51).

IV. ANALYSIS

A. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, "a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act." (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, 1 F.M.C.2d 264, Dkt. No. 17-07, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019) (settled on appeal, 1 F.M.C.2d 502, (FMC Dec. 19, 2019); *see also* 5 U.S.C. § 556(d)).

B. Alleged Violation of 46 U.S.C. § 41102(c)

Claimant alleges that Respondent violated 46 U.S.C. § 41102(c) in several ways. The statute provides that: "[a] common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with another person, directly or indirectly, may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property." (46 U.S.C. § 41102(c)). By regulation, the Commission identified the following five elements of a claim under § 41102(c):

- (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated

⁴ In several emails, Claimant asked Respondent to confirm that payment of \$2,100 would resolve the outstanding invoice, and that no additional or retaliatory charges would be added. Respondent did not respond, and Claimant asserted that it would include this refusal in the factual record. (*See generally* Claim, Ex. A, July 4 email – July 8 email). Claimant does not discuss this lack of response in its Claim.

entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4). I discuss these five elements in turn.

The central inquiry in a section 41102(c) claim is whether the respondent acted unreasonably. I address that question first.

1. Unjust and Unreasonable Practice

The central issue under section 41102(c) is whether the alleged practice is unjust or unreasonable.

Claimant alleges four unreasonable acts. Claimant's main allegation is that MSC's detention charges, totaling \$2,935, were unreasonable because they violate the incentive principle. (Claim, ¶¶ III.D, IV).

The Commission has stated that: "In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity." (46 C.F.R. § 545.5(c)(1)). In relation to government inspections, the Commission stated that it would assess the reasonableness of demurrage and detention practices in the context of government inspections, including whether such charges served their intended purpose. (46 C.F.R. § 545.5(c)(2)(iv)).

That principle was applied in *Tereno SDN BHD v. C.H. Robinson International, Inc.*, Dkt. No. 1972(I), 4 F.M.C.2d 30, 2022 WL 3093188 (SCO Jan. 27, 2022) ("*Tereno I*") (*aff'd* 4 F.M.C.2d 45, 2022 WL 3093190 (FMC Mar. 22, 2022)). There, the claimant shipper's container was detained by customs, resulting in the carrier imposing demurrage fees; the respondent, an OTI, passed the demurrage charges through to claimant. (*Tereno I*, 2022 WL 3093190, at *3-4). When the respondent first learned that documentation was needed to clear the hold, the respondent contacted the customs broker the same day, and the claimant the following day; respondent followed up with the customs broker several times before the broker provided the necessary information. (*Id.*, at *4-5, 8). The Small Claims Officer determined that the claimant failed to carry its burden of showing that the respondent's conduct unreasonably contributed to the imposition of the demurrage fees, and, in any event, noted that the demurrage fee was merely passed though. (*Id.*, at *9).

On appeal, the Commission clarified that "passing on" a charge is not necessarily a defense under section 41102(c). The Commission, though, affirmed the SCO, concluding that the claimant did not prove that the respondent acted unreasonably, and noting that there was evidence that the claimant did not satisfy its obligation to provide paperwork timely. (*Tereno SDN BHD v. C.H. Robinson International, Inc.*, Dkt. No. 1972(I), 4 F.M.C.2d 45, 2022 WL 3093190, at *1 (FMC Mar. 22, 2022) ("*Tereno II*").

Here, I find that Claimant has not demonstrated that Respondent acted unreasonably given the facts. The record shows that Respondent paid \$3,090.75 to CES, received two invoices from MSC totaling \$2,935, and received another \$170 invoice for chassis fees. (FOF, ¶¶ 26-32). Respondent needed to address these invoices. If someone was at fault for the exam, then the fees should arguably be directed towards the party at fault. Here, however, the record does not indicate that anyone was at fault for the exam (including Respondent), or, if someone was, Respondent did not learn who was at fault. (FOF, ¶¶ 6, 8, 19, 34). The record shows that Respondent asked CBP for information related to the exam but received none. (FOF, ¶ 19). While the record refers to the exam as a “trade related” exam, as well as a “general order” inspection (FOF, ¶¶ 19, 46), nothing indicates who was at fault, if anyone. Therefore, Respondent could not fairly allocate the costs to any single cargo owner. Nor would it be reasonable to expect Respondent to bear the costs of the exam entirely, as the record shows that Respondent did nothing to incur the costs, either.

Respondent tried to negotiate the exam costs. Respondent reached out to MSC and asked if MSC could reduce its invoice. (FOF, ¶ 46). MSC’s employee responded that it could not be because the hold was related to a general order inspection. (*Id.*).

Given these facts, one option Respondent had to deal with the charges would be to prorate the total charges across the parties whose cargo was in the container. This is what Respondent did. The total amount of the invoices was \$6,195.25.⁵ Claimant’s cargo took up 34.7% of the total cargo space on the container. Thus, multiplying the invoice total by Claimant’s percentage of cargo space, Claimant’s proportional share of the total costs was \$2,149.75.⁶ Respondent charged Claimant \$2,100 – which is less than Claimant’s proportional share of the invoices.⁷ (*See Answer*, ¶ I.2). Accordingly, I find that Claimant has not carried its burden in showing that Respondent acted unreasonably. Indeed, it would have been potentially unreasonable for Respondent to apportion fees unevenly between the parties whose cargo was in the container without sufficient justification. (*See, e.g., Louis Dreyfus Corp. v Plaquemines Port*, 25 F.M.C. 59 (1982) (holding that it was unreasonable for a port to apportion costs that benefitted all vessels only to vessels greater than a certain size where there was no reasonable justification for exempting smaller vessels)). Here, however, Respondent has provided a reasonable justification for the fee apportionment – a pro rata share based on each parties’ percentage of the total CBM of the container.

⁵ The invoice amounts are identified in FOF, ¶¶ 27-32. The calculation is as follows: \$3,090.25 (CES) + \$2,935 (MSC) + \$170 (Coda) = \$6,195.25.

⁶ Respondent’s proportional share is identified in FOF, ¶¶ 4-5. The calculation is as follows: $\$6,195.25 \times 0.347 = \$2,149.75175$.

⁷ Claimant argues that Respondent falsely represented it made no markups, and that Respondent admits it “rounded up” the charges. (Claimant’s Second RFI Responses, Claimant’s Verified Response to Second Order Requesting Additional Information (“Claimant’s Brief”), at 2-3). Claimant bases this assertion on an email from Respondent’s employee, where the employee noted that the \$2,100 charge included CES’s charges and MSC’s charges, as well as an estimate of the chassis charge. (*Id.*, citing FOF, ¶ 43). Respondent apparently underestimated the chassis charge. Respondent could have fairly charged Claimant an additional \$49.75.

Based on the Commission's incentive principle, it can be asked if some of the underlying charges were reasonable, especially the detention charges from MSC. If nothing could have been done by anyone other than CBP to reduce the exam-related delay, then MSC's detention charges are potentially unreasonable – though MSC suggests, based on information that may be unavailable to the parties in this case, that the detention charges were reasonable. (FOF, ¶ 46). Claimant does not argue, however, that Respondent should have challenged MSC in a more formal way than Respondent did, such as filing a charge complaint. Nor am I aware of any requirement that an entity in Respondent's position – *i.e.*, one passing-through a demurrage or detention charge from a carrier – needs to challenge the carrier's charge. To the contrary, an NVOCC that passes-through a carrier's demurrage or detention charge, and is not otherwise responsible for the charge, can claim a safe harbor if the carrier's invoice was inaccurate or false in violation of section 41104(d). (*See* 46 U.S.C. § 41104(e)). This suggests that an NVOCC may pass-through a carrier's charge and does not have to challenge the propriety of the charge. Therefore, I find that Respondent did not act unreasonably in passing through potentially unreasonable detention charges by MSC.

Claimant alleges three other unreasonable acts by Respondent, but I find that none of Claimant's other allegations have merit.

First, Claimant alleges that Respondent failed to disclose rates and detention policies. (Claim, ¶ III.D). This is not supported by the record. MSC's detention charges are the main charges at issue. Respondent gave Claimant a copy of MSC's invoices. The MSC invoices cite the relevant tariff and include a breakdown of the daily detention charges. (FOF, ¶¶ 30-31). Therefore, MSC's rates were disclosed.

Second, Respondent allegedly issued a surprise invoice. (Claim, ¶ III.D). It is not clear how the invoice was a "surprise." Respondent's employee communicated that an invoice was coming before it was issued. (FOF, ¶ 6). In addition, as noted above, the MSC invoices show how the charges were calculated. (FOF, ¶¶ 30-31). Further, Respondent explained to Claimant its allocation of the expenses. (FOF, ¶ 43). Therefore, I am not persuaded that Claimant has shown how Respondent issued an unjust or unreasonable "surprise" invoice.

Third, Respondent allegedly threatened to withhold cargo, and warned Claimant that Claimant would potentially incur "thousands of dollars" in storage fees, unless Claimant paid the disputed charge.⁸ (Claim, ¶ III.D; FOF, ¶ 47). That is not necessarily unreasonable. As Respondent acted as an NVOCC in relation to this shipment (discussed further below), a carrier can withhold delivery of cargo to compel a shipper to pay freight money that is lawfully owed. (*Bernard & Weldcraft Welding Equip. v. Supertrans Int'l*, Dkt. 02-12, 2003 WL 136313, at *14 n.4 (ALJ Jan. 8, 2003) (admin final Feb. 12, 2003)). In contrast, withholding the release of cargo based on a debt unrelated to the specific cargo in order to facilitate payment of a debt is an unreasonable practice. (*Petra Pet, Inc. v. Panda Logistics, Ltd.*, Dkt. No. 11-14, 2013 WL

⁸ Claimant also points out that Respondent's manager wanted Claimant to "learn a lesson" by going to the Commission. (Claimant's First RFI Responses, Claimant's Response to Order Requesting Additional Information, at 4; FOF, ¶ 49). Though the comments of Respondent's manager were unprofessional and inappropriate, they do not appear to amount to an unjust or unreasonable policy under section 41102(c).

9808694, at *3 (FMC, Oct. 21, 2013)). A carrier loses its lien if it surrenders its cargo before payment is made on it. (*MAVL Capital, Inc. v. Marine Transp. Logistics*, Dkt. No. 16-16, 2021 WL 4554718, at *22 (ALJ Sept. 29, 2021) (*aff'd* Jun. 10, 2022)). Therefore, Claimant has not demonstrated how it is unjust or unreasonable to threaten to withhold delivery of cargo pending the payment of lawful charges.

As for the warning that Claimant could end up owing “thousands of dollars” if it did not pay the storage fees, it is true. If the applicable warehouse storage rate were the same as the demurrage rates on CES’s invoice – \$135 per day for the first five days after free time, and \$245 per day afterwards (FOF, ¶ 26) – then a fee dispute that lasted 10 days after free time would cost \$1,900 in fees. Thus, Claimant has not shown that Respondent’s warning that “thousands of dollars” of fees may accrue is unjust or unreasonable.

For these reasons, I find that Claimant has not carried its burden of showing that Respondent acted unreasonably in relation to the charges at issue. For the sake of completeness, I analyze the other elements of a section 41102(c) claim.⁹

2. Normal, Customary and Continuous

To prove a violation of section 41102(c), the allegedly unreasonable act must occur on a normal, customary and continuous basis. In general, section 41102(c) does not create a remedy for a one-time unreasonable act; to satisfy this element, the action at issue is often repeated, systematic, uniform, habitual and continuous. (*Crocus Investments, LLC v. Marine Trans. Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021)). “Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice.” (*Id.*, at *8 (citation omitted)).

Some cases have held that this element of a section 41102(c) claim can be satisfied if a single charge is imposed pursuant to a tariff. For example, in *Simple Forwarding, Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F) (ALJ Feb. 6, 2025) (notice not to review, March 11, 2025), the normal, customary and continuous element was satisfied when the detention fees on a single container were imposed pursuant to a tariff. In *TCW, Inc. v. Evergreen Shipping Agency*, Dkt. No. 1966(I), 2022 WL 18068977, at *4-*5 (FMC Dec. 29, 2022) (*vacated and remanded on other grounds sub nom. Evergreen Shipping Agency v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024)), the approximately \$500 charge at issue was imposed pursuant to a contract.

Here, Respondent admits that it is industry practice to allocate charges on a pro-rata basis. (Answer, ¶ I.5). Therefore, this element is satisfied as to Claimant’s claim that Respondent unreasonably allocated MSC’s detention charges.

As for Claimant’s other claims, namely lack of disclosure, a “surprise” invoice, and its threat to hold the container, the Claimant’s Claim alleges that Respondent acted unreasonably in relation to this particular shipment. (*See* Claim, ¶ III.C). There is no allegation that Respondent

⁹ Respondent argues that Claimant engaged in a pattern of contentious behavior. (Answer, ¶ V). This is irrelevant. The issue raised in the Claim is whether Respondent acted justly and reasonably, not whether Claimant behaved justly and reasonably.

acted unreasonably on a normal, customary and continuing basis. Moreover, while I previously concluded that Claimant has not demonstrated that Respondent acted unjustly or unreasonably, “[e]ven if Claimant were able to prove its allegations against Respondent, the most that could be said is that on one occasion Respondent” acted unreasonably. (*Tereno I*, 2022 WL 3093188, at *8).

3. Regulated Entity

Respondent must be a regulated entity. I find that this element is satisfied as Respondent acted as an NVOCC. An NVOCC is defined as a common carrier that does not operate the vessels by which the ocean transportation is provided, and “is a shipper in its relationship with the ocean carrier.” (46 U.S.C § 40102(17)). In turn, a common carrier is:

a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)).

Before discussing the elements, Respondent essentially concedes in its Answer that it functioned as an NVOCC. It states expressly: “Interdel acts as an Ocean Transportation Intermediary (OTI)/NVOCC . . .” (Answer, ¶ VI.1). Its arguments in its Answer are premised on it acting as an NVOCC: “If claims like this are sustained despite clear documentary evidence and even underrecovery by the NVOCC, it risks creating a playbook whereby shippers routinely file low value FMC claims on properly documented pass-through charges, hoping that small and midsized NVOCCs will not expend the time to respond.” (Answer, ¶ VII).

Respondent’s concession is borne out by the facts. The first element, holding oneself out to the public to provide transportation by water, is satisfied. Respondent’s name appears on the Commission’s NVOCC list, its email advertises fully in-house supply chain, warehousing, distribution, and container consolidation. (*See, e.g.*, FOF, ¶ 1).

The second element, assumes responsibility from port or point of origin to port or point of receipt, is a close call. As noted in the regulations, an NVOCC typically engages in certain responsibilities, such as assisting with clearing shipments in accordance with U.S. government regulations, and arranging for inland transportation and paying for inland freight charges on through transportation movements. (*See, e.g.*, 46 C.F.R. § 515.2(k)). Here, Respondent worked to allocate the payment of the exam charges, helped with import clearance, and helped coordinate the movement of the container inland. (FOF, at ¶¶ 3, 19, 24). Further, there is no evidence in the record that Claimant made arrangements with anyone else, including the actual ocean carrier. While I

appreciate that there are facts that weigh to the contrary – for example, Respondent did not issue a bill of lading¹⁰ (FOF, ¶ 3) – I find, on the balance, that the second element of the definition of “common carrier” is satisfied.

As for the third element, use of a vessel from a foreign port to a U.S. port, it is also satisfied. Claimant’s cargo was transported on a vessel. (*See, e.g.*, FOF, ¶ 2).

For these reasons, I find that Respondent was acting as a regulated entity for purposes of a section 41102(c) claim.

4. Receiving, Handling, Storing or Delivering Property

To prove a section 41102(c) claim, the regulation has to relate to receiving, handling, storing or delivering property. (46 C.F.R. § 515.4). This element is met because this matter involves the transportation of Claimant’s cargo. (*See, e.g.*, FOF, ¶ 2).

5. Causation

The final element of a claim under section 41102(c) is causation. Claimant alleges that Respondent’s conduct resulted in financial injury of \$1,050. (Claim, ¶ VI). This element would be satisfied if Respondent acted unreasonably in its allocation of the exam-related costs, especially the MSC detention charges – in that case, there would be a direct link between Respondent’s allegedly unreasonable action and monetary harm Claimant allegedly suffered. But, as discussed, I find Claimant has not demonstrated that Respondent acted unreasonably.

As for the other three allegedly unreasonable acts – alleged failure to disclose, the “surprise” invoice, and threatening to hold a container – is it unclear how any of them would have resulted in the alleged financial harm of \$1,050, even if they were shown to be unreasonable.

Therefore, other than Claimant’s claim that Respondent improperly allocated MSC’s detention charges, I find that Claimant is unable to demonstrate causation as to its other allegations of unreasonable conduct by Respondent.

¹⁰ Claimant asserts that an entity related to Respondent issued the house bill of lading. (Claimant’s Second RFI Response, Claimant’s Brief, at 2). In general, while the Commission will consider piercing the corporate veil in an appropriate case (*see, e.g., Rana v. Franklin*, Dkt. No. 19-03, 5 F.M.C.2d 16, 39-43, 2022 WL 1744905, at *14-16 (FMC May 25, 2022)), I find that I do not need to address that issue here, as I find that Respondent acted as an NVOCC.

V. CONCLUSION

For the reasons discussed above, I find that Claimant has not carried its burden of demonstrating that Respondent violated section 41102(c). Therefore, it is **HEREBY ORDER** that Claimant's Claim is **DENIED** and **DISMISSED**. It is

FURTHER ORDERED that this matter is **DISCONTINUED**.

SO ORDERED

Richard C.

Ambrow Jr -S

Richard Ambrow
Small Claims Officer

Digitally signed by Richard C.
Ambrow Jr -S

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